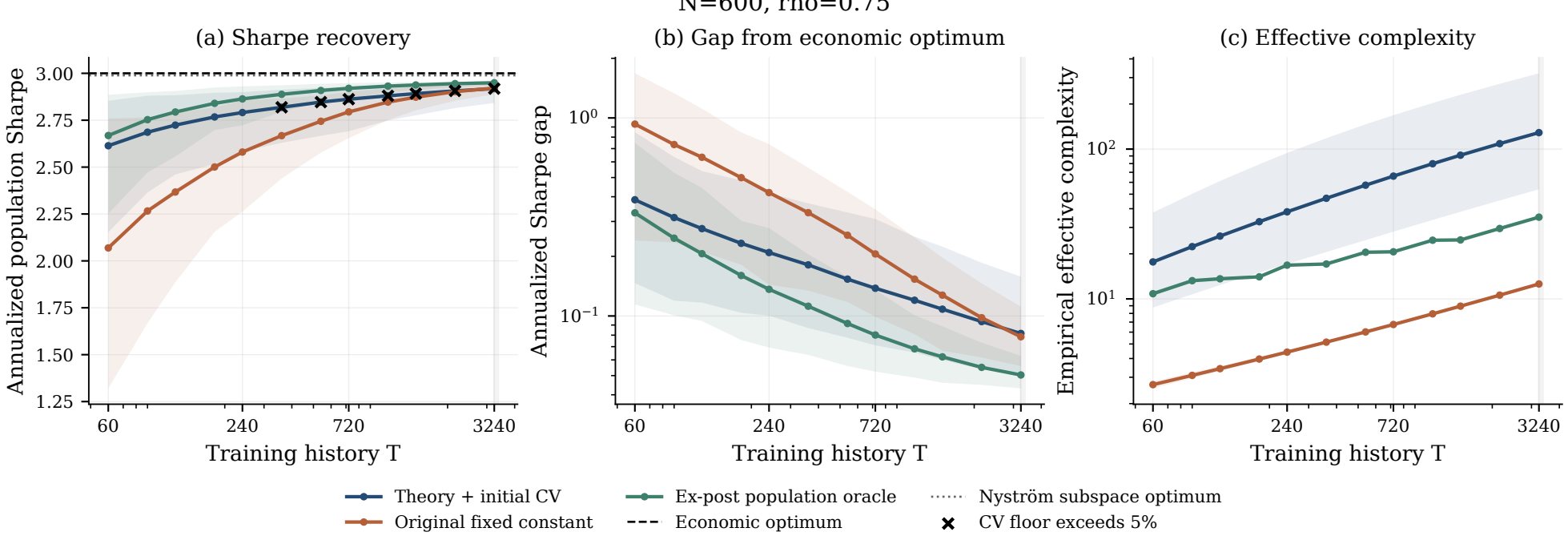
N=600, rho=0.75
(a) Sharpe recovery
(b) Gap from economic optimum
(c) Effective complexity
Annualized population Sharpe
Annualized Sharpe gap
Empirical effective complexity
3.00
2.75
2.50
2.25
2.00
1.75
1.50
1.25
10^{0}
10^{-1}
10^{2}
10^{1}
60
240
720
3240
Training history T
Theory + initial CV
Original fixed constant
Ex-post population oracle
Economic optimum
Nyström subspace optimum
CV floor exceeds 5%